

SESSION 2

Indian Financial System

Capital · Markets · Instruments · Intermediaries · Regulators

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India's \$5 Trillion Economy — Where Does the Money Come From?

India is projected to become a \$5 trillion economy. Where will the money come from?



Government Spending

Public capex: roads, railways, defence — budgeted at ₹11.11 lakh crore in FY25



Banking Credit

PSU & private banks deploying deposits into loans. Credit-to-GDP ratio ~57%



Foreign Capital

FDI + FII + ECB flows fund the gap between domestic savings and investment



Capital Markets

Equity + bond markets mobilising long-term capital for corporates and infra

The Financial System: The Economy's Circulatory System

Insight

Financial systems exist because savers and borrowers rarely meet directly.

The challenge is not generating savings — it is channeling them efficiently.

Could Reliance raise ₹20,000 crore directly from households without the financial system?

SAVERS



FINANCIAL
SYSTEM



BORROWERS / INVESTORS



Savings Function

Mobilises idle savings (gold, physical assets) into productive capital. India's household financialisation: SIP inflows ₹26,000 cr/month (2024)



Credit Function

Extends credit so companies & governments can invest now and repay from future earnings. Without credit, infra projects halt.



Policy Function

RBI uses repo rate to steer the economy. Rate changes cascade through home loans, corporate credit, bond yields, equity valuations.

Financial Markets: The Marketplace of Money

Money Market

Purpose: Short-term liquidity (< 1 year)

T-Bills · Call Money · Commercial Paper · CDs · Repo

✦ Why Reliance borrows for 30 days: bridging cash flow gaps between sales receipts and supplier payments — not long-term financing.

 rbi.org.in/money-market

Capital Market

Purpose: Long-term finance (equity + bonds)

Equities · Government Bonds · Corporate Bonds · Debentures · REITs

✦ Zomato IPO (2021): Raised ₹9,375 crore. No immediate debt obligations. Capital to fund delivery infra expansion without interest burden.

 nseindia.com/market-data

Forex Market

Purpose: Currency exchange & hedging

USD/INR · Currency Futures · Currency Options · Cross-currency swaps

✦ Infosys earns ~60% revenues in USD. A ₹1 depreciation vs dollar adds ~₹700–800 cr to annual revenues — profits from currency, not just operations.  rbi.org.in/forex

Credit Market

Purpose: Debt capital allocation

Bank Loans · NBFCs · Microfinance · Infrastructure Bonds · ECBs

✦ India's infra financing: NHAI raises debt via bonds, InvITs, and govt backing to fund ₹10 lakh crore road construction pipeline.

 sebi.gov.in/legal/acts

Financial Instruments: Different Ways to Package Risk

Money Market Instruments

Risk: Very Low

Horizon: < 1 Year

T-Bills, Commercial Paper, CDs, Repos. Primarily for liquidity management.

Who uses:
Banks, Corporates, Treasuries

📌 RBI issues 91-day, 182-day and 364-day T-Bills weekly. Yield reflects short-term rate expectations.

rbi.org.in/treasury-bills

Bonds / Debentures

Risk: Low–Medium

Horizon: 1–30 Years

Fixed income claim. Government bonds (risk-free benchmark) + corporate bonds (spread over G-Sec).

Who uses:
Insurance firms, Pension funds, FIIs

📌 10-yr G-Sec yield (~7%) is India's risk-free rate — the foundation for every valuation model used in Indian finance.

rbi.org.in/gsec

Equity Shares

Risk: High

Horizon: Perpetual

Residual claim on assets and earnings. No maturity. Investors accept risk for upside participation.

Who uses:
Retail investors, MFs, DIIs, FIIs

📌 Sensex CAGR ~14% over 30 years. Compounding turns ₹1 lakh → ₹50 lakh. But requires holding through 4–5 bear markets.

bseindia.com/sensex

Derivatives

Risk: Very High (leverage)

Horizon: Days to Months

Value derived from underlying (equity, commodity, FX, rate). Used for hedging AND speculation.

Who uses:
Hedgers, Arbitrageurs, Speculators

📌 NSE F&O: India is world's largest derivatives market by volume. 95%+ of option buyers lose money — most are speculating, not hedging.

nseindia.com/products/derivatives



Key Question: Why do hundreds of financial instruments exist if everyone ultimately wants returns?

Why Governments and Corporates Prefer Bonds



Government Bonds (G-Secs)

Why governments prefer bonds over taxes:

- ✓ Taxes are politically sensitive and slow to legislate
- ✓ Bonds spread the cost across future taxpayers who benefit from today's infra
- ✓ Sovereign borrowing at scale — Centre borrows ~₹14–15 lakh crore annually
- ✓ RBI uses G-Secs in OMO (Open Market Operations) to manage liquidity

📌 India 10-yr G-Sec (~7.1%) sets the risk-free rate used in every DCF and equity valuation model in Indian finance. RBI bond auctions are held every Friday.

🔗 rbi.org.in/gsec-auctions



Corporate Bonds & IL&FS Lesson

The IL&FS Crisis (2018) — Trust Collapse:

- ✗ IL&FS had AAA/AA+ ratings until weeks before default
- ✗ ₹91,000 cr debt across 350+ subsidiaries — systemic shock
- ✗ Triggered NBFC liquidity crisis, spreads spiked 200–300 bps
- ✓ SEBI & RBI intervention stabilised markets over 12–18 months

📌 Teaching Insight: Ratings are opinions, not guarantees. Bond markets often predict economic deterioration before equity markets react.

🔗 rbi.org.in/financial-stability-reports

Equity: A Claim on Future Growth, Not Just a Price

What equity really is

Equity is NOT just a trading instrument. It is a perpetual, residual claim on a company's assets and earnings. Shareholders are last in the priority queue — but capture ALL the upside.

Why investors buy perpetual securities

Expected return > risk-free rate = equity risk premium. Sensex CAGR ~14% over 30 years vs FD ~6–7%. The premium compensates for volatility and tail risks.

India's equity culture shift

Demat accounts grew from 4 crore (2019) to 16+ crore (2024). SIP inflows hit ₹26,000 cr/month. India's equity culture is young but accelerating rapidly.

Case Study: Zomato IPO (July 2021)

Issue Size: ₹9,375 crore | IPO Price: ₹76/share

Oversubscribed 38x — demonstrating massive retail appetite

Company was loss-making at IPO — equity markets fund future growth, not current profits

Peaked at ₹169 (Nov 2021) → crashed to ₹40 (Jul 2022) → recovered to ₹250+ (2024)

Teaching Insight: Equity rewards long-term holders, punishes short-term traders

Derivatives: Risk Redistribution, Not Risk Creation

Airlines hedge jet fuel (Brent crude) — IndiGo, Air India use fuel derivatives

Exporters hedge USD/INR — Infosys, TCS use currency forwards/options

NSE is world's #1 derivatives exchange by contract volume (2023–24)

95%+ retail F&O traders lose money — derivatives ≠ get-rich-quick (SEBI study 2023)

Teaching Insight: Derivatives redistribute risk from those who can't bear it to those who can.

Intermediaries: The Invisible Infrastructure of Markets

AMCs / Mutual Funds

Role: Pool retail savings → professionally managed diversified portfolios

- ★ SIP boom: ₹26,000 cr/month (2024). India has 44 AMCs managing ₹60+ lakh crore AUM. Teaching: Investors pay for discipline, not just expertise.

 amfiindia.com/statistics

Brokers & Exchanges

Role: Execute trades, provide market access, ensure settlement

- ★ Zerodha disrupted broking with zero-brokerage model → 7 crore clients. NSE cash market turnover ~₹50,000 cr/day. Technology democratised access.

 nseindia.com/products/equities

Merchant Bankers / I-Banks

Role: Underwrite IPOs, arrange debt, M&A advisory, structured finance

- ★ IPO boom 2021–2024: 100+ mainboard IPOs. Kotak, JM Financial, ICICI Securities as book-running lead managers structure the entire capital-raise.

 sebi.gov.in/merchant-bankers

Depositories (NSDL/CDSL)

Role: Hold securities in dematerialised form; settlement finality

- ★ NSDL + CDSL hold 16+ crore demat accounts as of 2024. T+1 settlement (India was among first globally) reduces settlement risk dramatically.

 nsdl.co.in

Credit Rating Agencies

Role: Assess creditworthiness of issuers; set pricing benchmarks

- ★ CRISIL, ICRA, CARE rate bonds. IL&FS was AAA-rated until weeks before its 2018 default of ₹91,000 cr. Ratings are opinions, not guarantees.

 crisil.com/ratings

Registrars (R&T Agents)

Role: Manage shareholder records, dividend processing, corporate actions

- ★ KFin Technologies, CAMS handle records for most large MFs and companies. Critical but invisible infrastructure that every investor depends on daily.

 sebi.gov.in/rta

UPI Revolution: Financial Intermediation Reimagined

20+ Billion

monthly UPI transactions (2024) · ₹20+ lakh crore monthly value ·
World's largest real-time payment system

What UPI Did

Transformed money movement without creating new money.
Linked 350+ banks on a single interoperable rails platform built by NPCI — a government-backed nonprofit.

Financial System Evolution

Financial systems evolve through efficiency improvements. UPI reduced transaction costs from ₹5–30 per bank transfer to near-zero — a step-change in intermediation cost.

Inclusion Impact

Jan Dhan + Aadhaar + Mobile (JAM Trinity) enabled 500 million previously unbanked Indians to access digital financial services.
Finance as infrastructure.

The Paradox

UPI disintermediated traditional banks from payments — yet banks remain the settlement layer. New intermediaries (Paytm, PhonePe, GPay) emerged on top of public infrastructure.

Who Watches the Watchmen? India's Regulatory Architecture

RBI

Reserve Bank of India

Mandate: Monetary policy · Banking supervision · Forex management · Payment systems

Key Tools: Repo Rate, CRR, SLR, OMOs

★ RBI's rate hike cycle (2022–23): Repo rate moved from 4% → 6.5% to curb inflation post-COVID. Each 25 bps hike raised home loan EMIs by ~₹1,500 on a ₹50 lakh loan.

rbi.org.in/monetary-policy

SEBI

Securities & Exchange Board of India

Mandate: Protect investors · Develop securities markets · Regulate intermediaries

Key Tools: Listing regulations, disclosure norms, insider trading rules

★ SEBI's F&O Study (2023): 89% retail traders lost money in equity derivatives over 3 years. Proposed higher margins, reduced weekly expiries. Markets ≠ casinos.

sebi.gov.in/reports

MCA

Ministry of Corporate Affairs

Mandate: Corporate governance · Company law · Insolvency (IBC) · MCA21 portal

Key Tools: Companies Act 2013, IBC 2016

★ IBC 2016 transformed India's insolvency ecosystem. Recovery rate improved from ~20% pre-IBC to ~40–50% post-IBC. Creditor rights strengthened significantly.

DEA

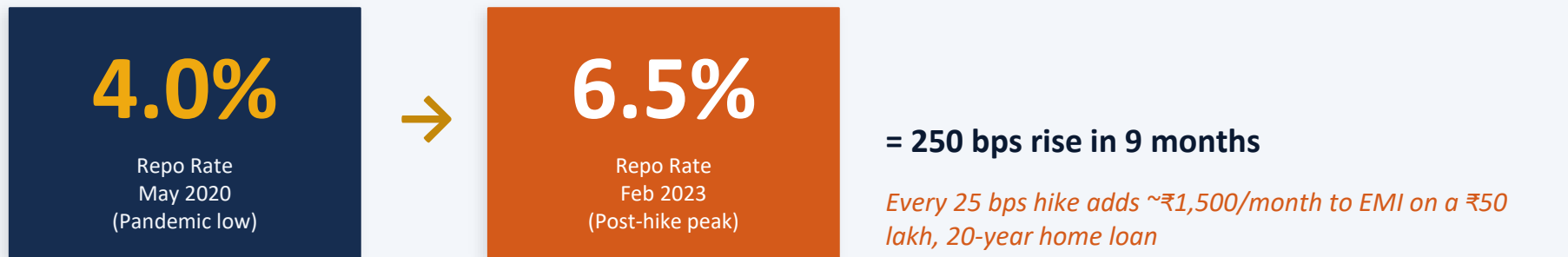
Dept. of Economic Affairs (Ministry of Finance)

Mandate: Capital market policy · FDI policy · External borrowings · Budget financing

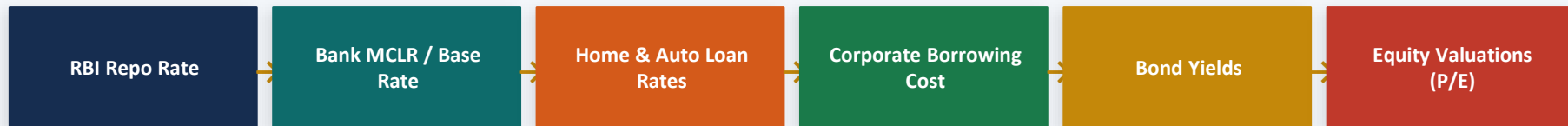
Key Tools: Fiscal policy, FDI limits, ECB guidelines

★ DEA sets FDI caps by sector — 100% in most manufacturing, 49% in insurance, 26% in defence. Drives long-term capital allocation policy across the economy.

How Monetary Policy Flows Through the Entire Economy



RATE TRANSMISSION CHAIN



Sector	Impact on the Economy
Home Loans	EMI rises → housing demand softens → real estate prices stabilize
Corporate Capex	Cost of capital rises → projects with marginal returns get shelved
Bond Prices	Inverse relationship: rates up → bond prices fall → existing bondholders lose
Equity Markets	Higher discount rates → lower DCF valuations → growth stocks de-rate most

20 Thought-Provoking Discussion Questions

System Design	Debt & Risk	Intermediaries	Regulation	Investor Behavior
Q1. Does money create growth or merely follow it?	Q5. Why do companies borrow despite bankruptcy risk?	Q9. Are mutual funds creating literacy or dependency?	Q13. Can regulators ever prevent bubbles?	Q17. Should households invest more in equities?
Q2. Is India bank-dominated or market-dominated?	Q6. Is debt inherently dangerous?	Q10. Can AI replace financial intermediaries?	Q14. Is RBI more powerful than SEBI?	Q18. Why do startups prefer equity over debt?
Q3. Are stock markets necessary for development?	Q7. Do derivatives reduce or increase risk?	Q11. Are banks becoming less important?	Q15. Should governments regulate crypto?	Q19. Why do investors continue buying IPOs?
Q4. Can an economy grow without credit?	Q8. Are bond markets smarter than stock markets?	Q12. Why do investors trust rating agencies?	Q16. Why do financial crises repeatedly occur?	Q20. Is financial innovation always beneficial?

Textbook Theory vs. Indian Financial Reality

Concept	Textbook Says	Indian Reality	Key Tension
Savings→Invest	All savings flow into productive investment	₹200 lakh cr in physical assets (gold, real estate) — trapped savings	Financialisation is incomplete
Credit Markets	Credit allocates to highest return projects	PSU banks carry ₹3–5 lakh cr NPA — misallocation at scale	Political economy distorts credit
Rating Agencies	AAA = safe	IL&FS was AAA until default. Ratings lag reality	Conflict of interest in issuer-pays model
Market Efficiency	Prices reflect information	Operator-driven penny stocks, pump-and-dump schemes still persist	Retail information asymmetry
Regulatory Power	Regulators prevent crises	SEBI detected; couldn't stop IL&FS, Satyam, PCJ fraud	Enforcement lags financial innovation



The gap between financial textbooks and Indian market reality is where most real-world learning — and most real-world losses — happen.

Three Big Ideas

01

The financial system solves the savings-investment matching problem

Without financial intermediaries, savers and borrowers cannot find each other. The quality of this matching determines a country's growth trajectory.

02

Markets, instruments, and intermediaries are all interconnected

A repo rate change by RBI ripples through money markets → bond markets → bank loans → equity valuations → real economy. It's one system, not separate parts.

03

Regulation protects market integrity — not investment outcomes

SEBI, RBI, MCA exist to ensure fair markets and systemic stability. They cannot prevent losses. Investors remain responsible for their own decisions.

Final Question: India has 1.4 billion people. If every individual saved — but no financial system channelled those savings — would India become a developed economy?